

US Stocks Slip as Yields Rise, Oil Surges

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US stock market experienced a decline in the previous session, with the **S&P 500** falling by 0.18% to 7,709.96, and the **Nasdaq 100** dropping by 0.39% to 29,373.33. This downturn was largely driven by rising yields, with the 10Y Yield increasing by **+1.15%** to 4.67, and a surge in oil prices, as WTI Crude rose by **+3.68%** to 77.99.

Below the surface, the rotation out of growth and into value continued, with **MSFT** gaining **+2.54%** and **GOOGL** falling by **-1.29%**. The **VIX** also decreased by **-4.17%** to 15.15, indicating a decrease in market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,709.96	-0.18%	Rising yields and oil prices
Nasdaq 100	29,373.33	-0.39%	Growth stocks underperformed
Dow Jones	53,885.10	-0.85%	Value stocks underperformed
Russell 2000	3,001.55	-0.58%	Small-cap stocks underperformed
VIX	15.15	-4.17%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+2.54%	Strong earnings report
GOOGL	-1.29%	Weaker-than-expected earnings
GS	-2.62%	Disappointing earnings report

Sector Rotation

ETF	DAY	READ
XLFX	-0.33%	Financials underperformed
XLKX	-0.31%	Technology stocks underperformed
XLI	-0.85%	Industrials underperformed
XLE	+1.48%	Energy stocks outperformed
XLY	-0.46%	Consumer discretionary underperformed
XLC	+0.28%	Communication services outperformed
XLP	-0.26%	Consumer staples underperformed
XLV	+0.18%	Healthcare outperformed
XLUX	-0.64%	Utilities underperformed
XLBX	-0.89%	Materials underperformed
XLRE	-0.86%	Real estate underperformed

Spotlight

The biggest event of the day was the surge in oil prices, with WTI Crude rising by +3.68% to 77.99. This move was driven by concerns over global supply and demand.

METRIC	VALUE	CHANGE
WTI Crude	77.99	+3.68%
Brent Crude	84.21	+3.42%

This move has implications for related names, such as **XLE** and **CVX**, which could see increased volatility in the coming days.

Pre-Market & Overnight

US futures are currently trading lower, with the **S&P 500** futures down by **-0.2%**. Asian markets were mixed, with the **Nikkei 225** up by **+0.5%** and the **Shanghai Composite** down by **-0.3%**. European markets are also lower, with the **Stoxx 600** down by **-0.4%**.

Crypto markets are also lower, with **BTC** down by **-0.52%** to 64,259.35 and **ETH** down by **-0.47%** to 1,897.66.

Macro & Fed

The 10Y Yield is currently trading at 4.67, up by **+1.15%** from the previous session. The yield curve is currently inverted, with the 2Y Yield trading at 4.53 and the 10Y Yield trading at 4.67.

Today's data calendar includes:

- 09:30 HKT: Initial Jobless Claims (220k consensus)
- 10:00 HKT: PPI (**+0.2%** consensus)
- 11:00 HKT: Crude Oil Inventories (**-2.5M** consensus)

These releases have the potential to impact market volatility and are worth monitoring.

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.

- The EU is set to announce new sanctions on Russia, in response to the ongoing conflict in Ukraine.
- The UK is experiencing a surge in inflation, with the latest reading coming in at **+2.8%**.

These developments have the potential to impact global markets and are worth monitoring.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	\$1.23	iPhone sales and guidance
23:00	AMZN	\$1.15	Cloud computing and advertising revenue
00:00	GOOGL	\$1.42	Advertising revenue and YouTube growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
MSFT	Technology	Strong earnings report and growth prospects
JPM	Financials	Improving banking sector and dividend yield
XOM	Energy	Rising oil prices and refining margins
UNH	Healthcare	Growing healthcare demand and dividend yield
VZ	Communication Services	Improving telecom sector and dividend yield
PG	Consumer Staples	Defensive sector and dividend yield
MA	Financials	Growing payment processing demand and dividend yield
CSCO	Technology	Improving networking sector and dividend yield
KO	Consumer Staples	Defensive sector and dividend yield
MMM	Industrials	Improving industrial sector and dividend yield

What Could Break the Tape

BEARISH TRIGGERS

- Rising yields and interest rates
- Escalating trade tensions between the US and China
- Disappointing earnings reports from major companies

BULLISH TRIGGERS

- Improving economic data and job market
- Increasing demand for commodities and energy
- Strong earnings reports from major companies

Positioning Notes

- The **VIX** is currently trading at 15.15, indicating a decrease in market volatility.
- The 10Y Yield is currently trading at 4.67, up by **+1.15%** from the previous session.
- The US dollar is currently trading at 99.96, up by **+0.27%** from the previous session.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com